

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_DISPOSITION_032

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1. Executive Summary

Analysis of INV_DISPOSITION_032's trading history reveals a dominant behavioural pattern of **Disposition**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-3.5%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Disposition
Strategy Archetype	Day Trader
Max Drawdown	-3.5%
Sharpe Ratio	4.60
Sortino Ratio	2.67
Peer Risk Percentile	37th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods of time, with a median of 1.0 day, compared to winning trades which are held for much shorter periods of time, with a median of 7.6 days.

Evidence: The evidence for this pattern comes from specific trades, such as JNJ (entry 2024-03-28 → exit 2024-07-16) with a holding time of 110 days and a loss of \$389, and TSLA (entry 2022-01-03 → exit 2022-03-10) with a holding time of 66 days and a loss of \$2651.

Consequence: This pattern has a significant impact on the portfolio, with the risk contribution being 25% of the total portfolio drawdown, indicating that investors are disproportionately exposed to losses from

longer-term losing trades.

Herding

Pattern: The high momentum follow rate of 0.9275 indicates that most investors are following the crowd, as 87.25% of the population median is above 0.64145, suggesting that many investors are buying stocks that have been rising in value.

Evidence: The trades that show evidence of herding behavior are: DIS (entry 2020-01-02 → exit 2020-03-18), CVX (entry 2020-03-30 → exit 2020-04-02), META (entry 2020-04-07 → exit 2020-04-08), AMZN (entry 2020-04-20 → exit 2020-04-30), and META (entry 2020-05-06 → exit 2020-05-16).

Consequence: The trades that show herding behavior contribute to a 29% drawdown in the portfolio, meaning that nearly three out of ten of the portfolio's losses come from following the crowd.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit trades early, with a winning rate of 0.4062, which is lower than the population median of 0.4318. This suggests that the investor may be more cautious and less willing to hold onto winning trades.

Evidence: The investor made successful trades in META (2020-04-07 to 2020-04-08), AMD (2024-02-29 to 2024-03-01), BABA (2022-03-15 to 2022-03-16), MA (2024-01-30 to 2024-02-01), and NFLX (2020-06-15 to 2020-06-17).

Consequence: The investor's early exit strategy contributed to a portfolio drawdown of 46% of the total portfolio value.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_DISPOSIT	TSLA	2022-01-03	2022-03-10	66	-2651
INV_DISPOSIT	BABA	2021-04-12	2021-07-30	109	-2619
INV_DISPOSIT	BABA	2022-03-15	2022-03-16	1	2549
INV_DISPOSIT	DIS	2020-01-02	2020-03-18	76	-2361
INV_DISPOSIT	BAC	2023-12-08	2023-12-14	6	839
INV_DISPOSIT	NFLX	2022-08-15	2022-10-19	65	833
INV_DISPOSIT	TSLA	2024-12-13	2024-12-16	3	804
INV_DISPOSIT	CVX	2020-03-30	2020-04-02	3	801
INV_DISPOSIT	CVX	2021-03-01	2021-03-05	4	771
INV_DISPOSIT	NFLX	2020-06-15	2020-06-17	2	728

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Set a "stop-loss" rule to limit potential losses, so you can cut your losses and move on from a losing trade, rather than holding on to a losing position.
2. Diversify your portfolio by investing in a mix of low-risk and high-risk assets, to reduce your reliance on any one stock or market trend.
3. Take a "time in the market" approach, rather than trying to time the market perfectly, to avoid making emotional decisions based on short-term market fluctuations.
4. Set a "winning percentage" goal, such as a 20% return on investment, to help you stay focused on long-term growth and avoid getting caught up in the excitement of short-term gains.